

China's Young People Trapped in "Shadow Unemployment" as Youth Unemployment Rate Falls

By Yufei Chen

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China's official youth unemployment rate is falling. Yet a growing number of young people remain without stable work, stuck in what economists describe as "shadow unemployment" — a gray zone where individuals are not counted as unemployed but are effectively idle, rotating between exams, temporary jobs and prolonged job searches.

The phenomenon has become more visible as China produces record numbers of graduates each year. While headline figures suggest improvement, many young people say their lived experience tells a very different story, raising questions about how well official statistics capture conditions on the ground.

According to data released by China's National Bureau of Statistics on December 18, 2025, the surveyed urban unemployment rate for people aged 16 to 24, excluding students, stood at 16.9% in November. The figure was down 0.4 percentage points from October and marked the lowest level since July. The unemployment rate for those aged 25 to 29, also excluding students, remained unchanged at 7.2% for a fourth consecutive month.

On the surface, the numbers point to gradual stabilization in the youth labor market. The data follow months of official efforts to project confidence after a period of volatility.

That volatility began in June 2023, when the surveyed unemployment rate for people aged 16 to 24 climbed to a record 21.3%. Two months later, authorities suspended the release of age-specific youth unemployment data, citing the need to improve statistical methods. When publication resumed in December 2023, the figures came with significant changes.

The revised method divides the youth group into three age categories: 16 to 24 years old, 25 to 29 years old, and 30 to 59 years old. Moreover, students who are still in school are excluded when calculating the unemployment rate. The statistics bureau said the adjustments were intended to more accurately reflect employment conditions among young people who had entered the labor market and were actively seeking work.

The changes, however, also narrowed the population captured by the headline rate. Despite repeated government efforts to stabilize growth and support employment, millions of college graduates continue to struggle to secure stable work. Many of those preparing for exams or taking short-term jobs after failed searches are therefore no longer counted as unemployed, despite remaining economically inactive.

Nowhere is the disconnect more visible than online.

On Xiaohongshu, also known as Rednote, one of China's most popular social platforms, posts from young graduates describing prolonged job searches, repeated rejections and unanswered applications have proliferated. Some come from alumni of elite universities such as Tsinghua University and Peking University, who say they have yet to receive a single job offer despite months of effort.

The contrast between improving data and growing online anxiety has fueled debate over whether official indicators still reflect reality. Public discussion has often framed the issue as a matter of attitude rather than opportunity.

Commentators have invoked Kong Yiji, a fictional character from a classic Chinese short story, as shorthand for educated people perceived as clinging to intellectual pride while refusing to adapt to economic realities. The label has been used to suggest that young people remain unemployed because they are unwilling to accept lower-status jobs.

The rhetoric has triggered a strong backlash. Many young people argue that such narratives overlook structural constraints in the labor market and shift responsibility away from broader economic conditions. Online, frustration has increasingly been expressed through irony and self-mockery.

The term "crazy literature" has come to describe a wave of ironic, self-deprecating posts circulating on Chinese social media, where young people exaggerate despair to vent job-search frustration. Phrases such as "A humble laborer, awaiting assignment," or "No replies to job applications, and I'm on the brink of giving up," are widely shared. Beneath the humor lies a common message: behind the statistics are individuals whose struggles remain largely invisible.

Li Lin, a recent graduate, has been living in that gray zone for more than a year. After failing the postgraduate entrance exam last year, she sat for it again this December. To support herself while preparing for her exams, she worked part-time and simultaneously prepared for China's highly competitive civil service examination, widely regarded as one of the few paths to a stable life.

"I don't care anymore about whether I can 'take off the scholar's gown,'" Li said. "I just want a job."

When she learned how unemployment figures are calculated, Li paused. "Whether I'm included in the statistics doesn't really matter," she said. "I'm a real person. I can't find a job. That's a fact."

The gap between data and experience reflects deeper forces reshaping China's labor market.

Excluding students from unemployment calculations may improve headline figures, but it does little to change the underlying dynamics. China has produced more than 10 million college graduates each year since 2022. The number rose to 12.22 million in 2025 and is projected to reach 12.7 million in 2026.

At the same time, job creation has struggled to keep pace. Slowing economic growth, weak domestic demand and uncertainty surrounding investment and external trade have made companies more cautious, limiting hiring across sectors. The result is a growing mismatch between labor supply and demand, particularly for white-collar and entry-level roles.

Master's degree holders increasingly compete for jobs once accessible to undergraduates, while degree devaluation, underemployment and delayed entry into the workforce become more common. For many young people, exams have become less a strategic choice than a way to postpone confronting a labor market offering limited opportunities.

That shift is visible in the numbers.

Registrations for China's 2026 national postgraduate entrance exam fell to 3.43 million, down 450,000 from the previous year and marking the third consecutive annual decline. At the same time, applications for the national civil service examination exceeded 3.71 million, setting a record high.

These two contrasting trends reflect a declining belief in the value of additional academic credentials, while competition for the stability offered by the state continues to intensify. As a consequence, a growing number of young people remain outside the labor market, delaying entry into work and gradually disappearing from official unemployment figures.

Independent reporting and analysis by Yufei Chen.